Optimising Inventory & Strategizing Expansion of Corindo Spices

Khushi Pandey

23f1002421

IITM Online BS program

Introduction to Corindo Spices

- Wholesale supplier of common spices in West Bengal
- Operating across 10 districts with a manufacturing unit in Rajbandigarh, Gouripur
- With a selection of 8 different spices, Corindo is set to launch 3 new additions

Problem Statement

Challenges in Inventory Management

The company faces significant hurdles in managing inventory effectively, particularly during the launch of new products.

Market Position and Expansion Goals

With a solid foothold in West Bengal, Corindo Spices aims to broaden its market reach by penetrating new districts and increasing its product offerings.

Data Collection and Methodology

Data Collection Process Gathering monthly order and sales data from April 2024 to March 2025, encompassing eight distinct spice products across ten districts.	**Key Analysis Techniques** Employing methods such as fulfilment rate analysis, district-wise sales analysis, moving average method allows for a nuanced understanding of inventory dynamics and sales performance.	**Data Cleaning and Pre-Processing** This involves correcting inconsistencies, standardizing pack sizes, and restructuring the dataset to facilitate accurate analysis and interpretation.

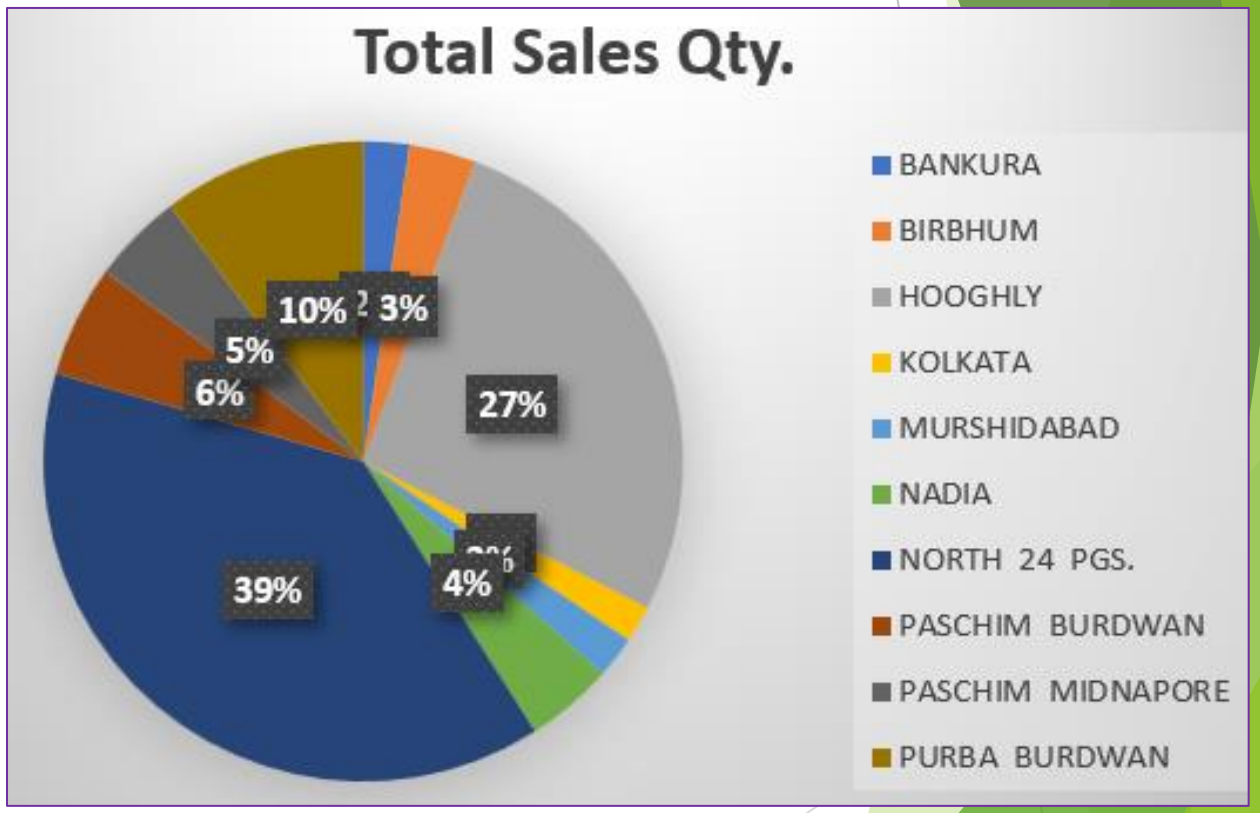
Fulfilment Rate Analysis

Key Findings

- The average fulfilment rate across all districts exceeded 90%, signifying a strong order execution system. Minor deviations were observed in:
  - Turmeric: 82.9% (Paschim Midnapore)
  - Chilli: 83% (Paschim Midnapore)
- Overall, the fulfilment rate percentage remained above 90%, implying readiness for expansion without extensive infrastructural overhaul.

	Average Fulfilment Rate							
Row Labels	Poppy	Cumin	Brown	Yellow	Fennel	Panch	Turme	Chilli
BANKURA	99.4	97.74	93.26	99.58	98.7	98.7	98.4	100
BIRBHUM	98.6	98.41	96.47	98.61	97.5	99.1	98.7	99
HOOGHLY	97.7	98.91	97.2	99.71	97.8	99.1	99.7	100
KOLKATA	99.9	98.55	92.1	98.43	98.1	98.6	99.6	99
MURSHIDABAD	98.8	97.78	95.04	98.29	98.8	98.1	99.5	99
NADIA	99.4	98.37	95.71	98.48	98.5	98.2	99.3	98
NORTH 24 PGS.	99.1	98.78	97.39	99.04	98.2	99.5	99.4	100
PASCHIM BURDWAN	98.3	98.52	96.05	98.77	97.5	98.5	99.5	100
PASCHIM MIDNAPORE	98	97.87	95.89	97.93	98.4	99.3	82.9	83
PURBA BURDWAN	99.1	98.56	95.96	98.63	97.8	99	99.5	100

District-wise Sales



Key Findings

- North 24 Parganas accounts for 39% of total sales.
- Hooghly contributes 27% with steady growth in bulk (500 g) orders.
- Paschim Midnapore & Purba Burdwan: ≈ 16 % combined - emerging growth zones for household packs.

Analogous Product Analysis

Market prices of comparable brands (JK, Sunrise, Ganesh) were studied for 50 g packs

Key Findings

- Shahi Garam Masala: Exhibited the highest price variation, suggesting a differentiated product positioning opportunity.
- Coriander Powder: Highly commoditized—uniform pricing across brands, requiring competitive differentiation through quality and packaging.
- Kashmiri Lal Mirch: Positioned in the premium segment with relatively stable pricing.

Corindo Spices Ideal Price Suggestion (50g pack)

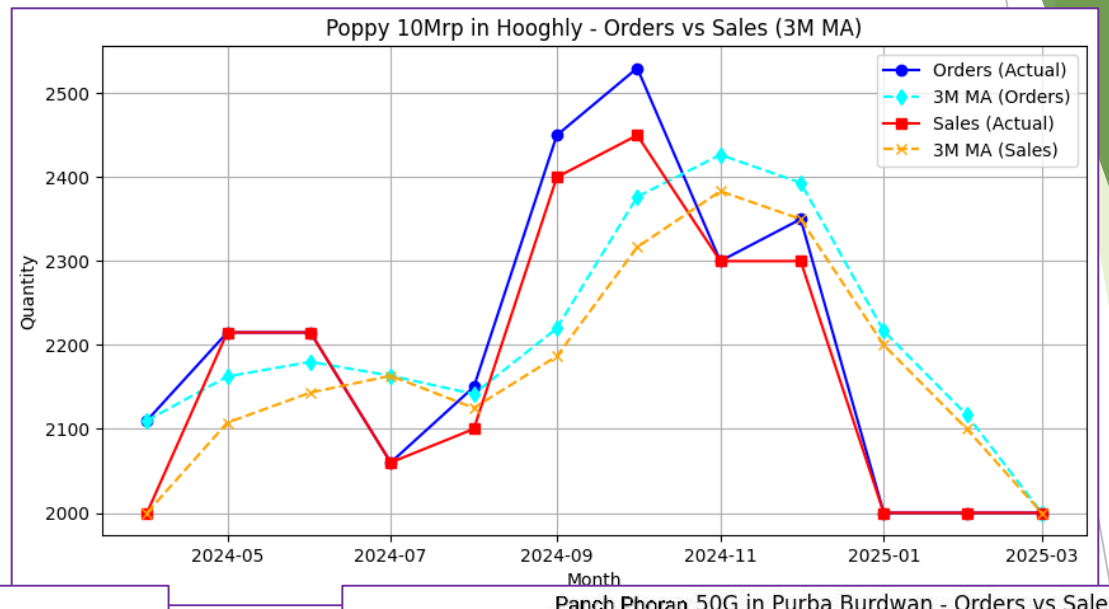
Product	Min Price	Max Price	Average Price	Ideal_Competitive_Price
Shahi Garam Masala	₹ 90.00	₹ 130.00	₹ 116.67	₹ 105.00
Kashmiri Lal Mirch	₹ 60.00	₹ 70.00	₹ 66.67	₹ 60.00
Coriander Powder	₹ 20.00	₹ 20.00	₹ 20.00	₹ 18.00

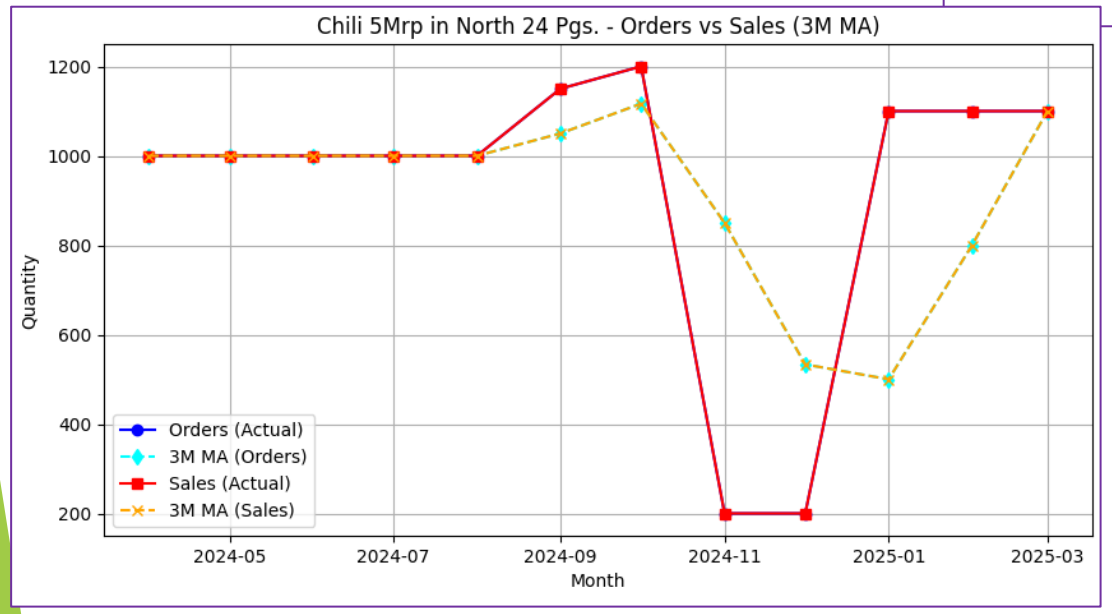
Product	Expected Orders	Safety Stock	Initial Stock
Shahi Garam Masala	81	20%	97
Kashmiri Lal Mirch	81	20%	97
Coriander Powder	104	20%	125

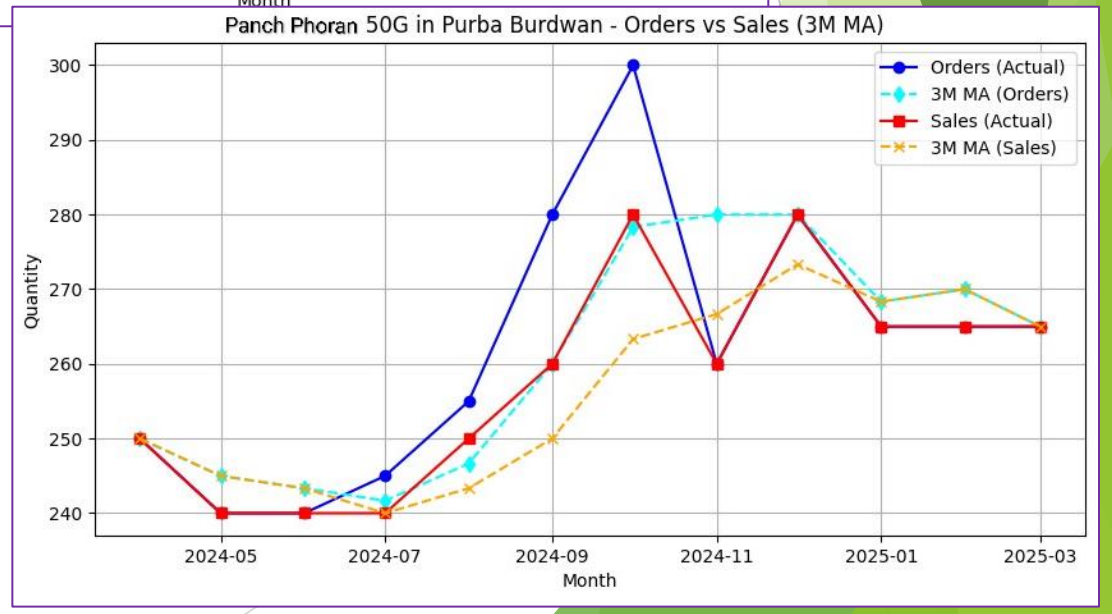
Moving Average Analysis

Key Findings

- Poppy and Fennel experience peak sales during summer
- Panch Phoron and Cumin see surges during festive seasons
- Brown and Yellow Mustard maintain steady demand throughout the year
- Sales anomalies, particularly quality issues in Turmeric and Chilli during late 2024, led to significant declines.







Interpretation

- ✓ Moving average trends confirm that demand is season-sensitive.
- ✓ The dip in Turmeric and Chilli sales underscores the importance of quality control and packaging integrity. Product consistency directly correlates with sales stability and customer trust.
- ✓ District-level analysis underscores North 24 Parganas and Hooghly as core regions to pilot new launches. Their established wholesale networks can serve as expansion anchors.
- ✓ High fulfilment rates validate the existing logistics model. However, small deviations in select districts indicate the need for periodic monitoring to ensure consistent delivery performance.

Recommendations

- Scale up Poppy & Fennel inventory in March-July; increase others in September-December. ➢ Run festive discounts or combo offers during Durga Puja-Diwali season.
- Prioritize Paschim Burdwan, Nadia, and Paschim Midnapore for expansion (higher literacy & moderate income base). ➢ Introduce micro-distributors or rural stock points for Bankura and Birbhum where access is low.
- Competitive pricing slightly below market average ➢ Top districts as pilot markets for product introductions.
- QR-coded quality assurance labels on packaging.
- Distribute sample sachets of premium blends in local fairs, and retail stores. ➢ Tie-ups with local eateries
- Data and Performance Monitoring